



RT Specialty
12700 Park Central Dr
Ste 1250 & 2000
Dallas, TX 75251
Jason Hayes
214-845-5460

Insurance Proposal

May 15, 2026

Carroll Insurance Agency, Ltd.

Attn: Anna Barrera
6702 Gessner Road Houston, TX 77040

Applicant: SynergenX Legacy Holdings LLC
16131 N Eldridge Pkwy, Ste 100
Tomball, TX 77377

Submission #: ESN0140383085
Policy Period: 06/01/2026 12:01 AM To 06/01/2027 12:01 AM
Coverage: Cyber

Issuing Company: Certain Underwriters at Lloyd's, London

We are pleased to submit our proposal for the above captioned applicant.

Please read the attached quote carefully as coverage offered may be more limited than coverage requested.

Note :

Minimum earned premium may apply to this policy. See attached carrier quote for specifics. Please note that all fees are fully earned at inception.

TRIA coverage if applicable is offered on the attached carrier's quote.

Please review any minimum and deposit, audit, and/or cancellation provisions on the attached carrier quote for details regarding possible return premiums and additional premium charges.

I look forward to hearing from you, and please call if you have any questions.

Thank you for your business.

Regards,

Jason Hayes
Vice President
RT Specialty
jason.hayes@rtspecialty.com
214-845-5460

Pamela Bullock
Inside Broker
RT Specialty
pamela.bullock@rtspecialty.com
214-845-5465



RT Specialty
12700 Park Central Dr
Ste 1250 & 2000
Dallas, TX 75251
Jason Hayes
214-845-5460

Insurance Proposal

Cost Summary

Cyber Premium	\$34,200.00
Carrier Policy Fee	\$575.00
Policy Fee	\$500.00
TX Stamp Fee	\$14.11
TX Surplus Lines Tax	\$1,710.84

Total Policy Cost	\$36,999.95
--------------------------	--------------------

Minimum Earned

Note: There may be a minimum earned on this policy. Please refer to the carrier quote for more details on the minimum earned percentage.

Agent Commission: 10.00%

Disclosures

RT Specialty is typically compensated through commission from the insurer for the placement of policies in most transactions. The amount of the commission varies by insurance line and by carrier. RT Specialty might also receive additional compensation. In order to place the insurance requested we may charge a reasonable fee for additional services such as performing a risk analysis, comparing policies, processing submissions, communication expenses, inspections, working with underwriters on the coverage proposal, issuing policies, or servicing the policy after issuance. Any fees charged are fully earned at inception of the policy. Third-party inspection or other fees may be separately itemized upon request. Our fees are applied to new policies, renewal policies, and endorsements. Fees applicable to each renewal and endorsement will be set forth in the quotes. It is the insurance carrier's decision whether to offer the insurance quoted, and your client's decision whether to accept the quote. Our fee is not imposed by state law or the Insurer.

Depending upon the Insurer involved with your placement, we might also have an agreement with the Insurer that we are proposing for this placement that might pay us future additional compensation. This compensation could be based on formulas that consider the volume of business placed with the Insurer, the profitability of that business, how much of the business is retained for the Insurer's account each year, and potentially other factors. The agreements frequently consider total eligible premium from all clients placed during a calendar year and any incentive or contingent compensation is often received at a future date. Because of variables in these agreements, we often do not have an accurate means at the time of placement to determine the amount of any additional compensation that might be attributable to any single placement. You, as the retail broker with the direct relationship with the Insured, must comply with all applicable laws and regulations related to disclosure of and consent and agreement to, compensation, and informing the Insured that it may request more information about producer or broker compensation that might be paid in connection with the Insured's placement. If we request a copy of any legally required insured consent or agreement, you will provide us with a copy. If you need additional information about the compensation arrangements for services provided by RT Specialty affiliates, please contact your RT Specialty representative.

RT Specialty is a division of RSG Specialty, LLC. RSG Specialty, LLC is a Delaware limited liability company and a subsidiary of Ryan Specialty, LLC. In California: RSG Specialty Insurance Services, LLC (License # 0G97516).



Why choose CFC cyber?

Find out why CFC's market-leading cyber insurance products are trusted by over 100,000 businesses around the globe to help protect them against cyber risk.

Broad cyber coverage

Covering a range of attacks and incidents, including:

- ✓ **Unlimited reinstatements with nil deductible**, where you'll pay either none, or only single deductible, no matter how many cyber incidents we respond to.
- ✓ **Proactive cyber attack prevention** contractually embedded into the insurance product as a world first.
- ✓ **Business interruption** includes full limits for systems failure events, lost or missed bids, data recreation cover and emergency continuity costs.
- ✓ **Interim payments** for business interruption losses prior to the final adjustment.
- ✓ **Extensive crime coverage**, including invoice manipulation, theft of client funds and physical goods.
- ✓ **Affirmative coverage** for AI, contingent bodily injury, extortion response costs and more.

Largest in-house incident response and claims team

- ✓ **+200 incident response experts** situated around the globe to offer 24x7x365 support.
- ✓ **Specifically trained** to triage, remediate and recover businesses from cyber attacks.
- ✓ **Regionally specialized claims team** —who have a deep understanding of your local jurisdiction.

Cyber attack prevention services—as standard

Working to protect you from cyber attacks—helping to prevent a claim, before it happens.

- ✓ Starts the day you bind, working throughout the policy period.
- ✓ Included as standard, at no extra cost.
- ✓ Using a range of advanced cyber security tools and technology to identify threats and alert you to those that matter.

99.1% cyber claims acceptance rate*

- ✓ Giving you the confidence and peace of mind that your largest business risk will be covered.
- ✓ Providing you with a comprehensive product that covers what it says it will.

25 years' cyber experience

- ✓ As one of the **longest running cyber providers**, you can trust we work to put your business first.
- ✓ The largest in-house cyber team in the market, who offer a **streamlined and efficient process** from underwriting and cyber security to incident response and claims.

*Based on the last 12 months of cyber claims.

Note: Incident response services are provided by an affiliate of CFC Underwriting Ltd, trading under the name CFC Response.

Cyber attack prevention and remediation

A CFC cyber policy offers protective services working to help prevent attacks from happening in the first place. If an incident does occur, our expert technical team will help get you back online, fast.

Proactive cyber attack prevention

Working to protect you from cyber incidents.

We supplement your existing cyber security programme by assessing your businesses' attack surface to understand what we're protecting. Then work around the clock, seeking to identify threats and risks that could impact your businesses—only alerting you to those threats that matter.

Using a range of advanced cyber security tools:



Threat intelligence

We partner with government and private threat intelligence organizations to receive and **analyze information about cyber threats** targeting your business.



Threat hunting

Our cyber threat analysts **actively search the dark web** and hacker forums for compromised customer credentials and any other malicious activity.



Vulnerability scanning

We actively **scan insureds for known vulnerabilities** and cyber risks that have a high correlation to claims.



Real-time claims data

We use our own proprietary claims data to help **identify attack trends** and potential threats.

Expert incident response and cyber claims

Helping to get you back online, fast.

If we alert you to malicious activity in your system, or you notify us of something, our in-house team are trained to:



Triage

Once notified, **we'll be in touch within 15 mins*** to assess the situation and identify the necessary resources to address the incident.



Contain

Our team of cyber security engineers, forensic specialists and incident responders will **contain and remediate the incident**. If needed, we'll partner with third-party specialists.



Recover

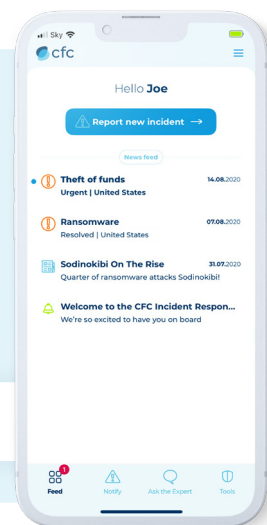
Once contained, our incident response and claims team work closely together to rebuild systems, reconstitute data and **get your business back up and running**.

Response app

Our award-winning mobile app offers free exclusive cyber security tools and access to technical support 24/7. Helping you get the most out of our preventative and responsive cyber services.

- ✓ Most secure line of communication with our expert cyber security team.
- ✓ Fastest way to alert us of an incident.
- ✓ Receive personalized critical cyber threat alerts.

Download today to get the most out of your cyber policy.



*For notifications that come through our app, Response or via phone.

Note: Incident response services are provided by an affiliate of CFC Underwriting Ltd, trading under the name CFC Response.



INDICATION OF TERMS

REFERENCE NUMBER:	7165065
COMPANY NAME:	SynergenX Legacy Holdings LLC
TOTAL PAYABLE:	USD34,775.00
Premium breakdown:	
Cyber & Privacy:	USD23,000.00
Cyber Crime:	USD11,200.00
TRIA:	USD0.00
Policy Administration Fee:	USD575.00
BUSINESS OPERATIONS:	Hormone replacement therapy
LEGAL ACTION:	Worldwide
TERRITORIAL SCOPE:	Worldwide
AGGREGATE DEDUCTIBLE:	USD50,000.00 in the aggregate
REPUTATIONAL HARM PERIOD:	12 months
INDEMNITY PERIOD:	12 months
TIME FRANCHISE:	8 hours
WORDING:	Cyber Proactive Response v4.0
ENDORSEMENTS:	Complaints Notice (Texas) Texas Surplus Lines Clause Policyholder Disclosure Notice Of Terrorism Insurance Coverage RT Specialty Special Amendatory Clause Cyber Incident Response Within The Limit Clause
SUBJECTIVITIES:	N/A
POLICY PERIOD:	12 months
DATE OF ISSUE:	08 May 2026
OPTIONAL EXTENDED REPORTING PERIOD:	12 months for 100% of applicable annualized premium
SECURITY:	Certain underwriters at Lloyd's and other insurers
UNDERWRITER:	George Potter
ADDITIONAL NOTES:	

THIS QUOTATION IS ONLY VALID FOR 30 DAYS FROM THE DATE OF ISSUE

PLEASE REFER TO THE FOLLOWING PAGES FOR A FULL BREAKDOWN OF LIMITS,
RETENTIONS AND APPLICABLE CLAUSES



DECLARATIONS

INSURING CLAUSE 1: CYBER INCIDENT RESPONSE

SECTION A: INCIDENT RESPONSE COSTS

Limit of liability: USD1,000,000 each and every claim

SECTION B: LEGAL AND REGULATORY COSTS

Limit of liability: USD1,000,000 each and every claim

SECTION C: IT SECURITY AND FORENSIC COSTS

Limit of liability: USD1,000,000 each and every claim

SECTION D: CRISIS COMMUNICATION COSTS

Limit of liability: USD1,000,000 each and every claim

SECTION E: PRIVACY BREACH MANAGEMENT COSTS

Limit of liability: USD1,000,000 each and every claim

SECTION F: THIRD PARTY PRIVACY BREACH MANAGEMENT COSTS

Limit of liability: USD1,000,000 each and every claim

SECTION G: POST BREACH REMEDIATION COSTS

Limit of liability: USD50,000 each and every claim, subject to a maximum of 10% of all sums **we** have paid as a direct result of the **cyber event**

INSURING CLAUSE 2: CYBER CRIME

SECTION A: FUNDS TRANSFER FRAUD

Limit of liability: USD250,000 each and every claim

SECTION B: INVOICE MANIPULATION

Limit of liability: USD250,000 each and every claim

SECTION C: NEW VENDOR FRAUD

Limit of liability: USD250,000 each and every claim

SECTION D: PHYSICAL GOODS FRAUD

Limit of liability: USD250,000 each and every claim



SECTION E: THEFT OF PERSONAL FUNDS

Limit of liability:	USD250,000	each and every claim
---------------------	------------	----------------------

SECTION F: CORPORATE IDENTITY THEFT

Limit of liability:	USD250,000	each and every claim
---------------------	------------	----------------------

SECTION G: THEFT OF FUNDS HELD IN ESCROW

Limit of liability:	USD250,000	each and every claim
---------------------	------------	----------------------

SECTION H: THEFT OF CLIENT FUNDS

Limit of liability:	USD50,000	each and every claim
---------------------	-----------	----------------------

SECTION I: CUSTOMER PAYMENT FRAUD

Limit of liability:	USD50,000	each and every claim
---------------------	-----------	----------------------

SECTION J: TELEPHONE HACKING

Limit of liability:	USD250,000	each and every claim
---------------------	------------	----------------------

SECTION K: UNAUTHORIZED USE OF COMPUTER RESOURCES

Limit of liability:	USD250,000	each and every claim
---------------------	------------	----------------------

INSURING CLAUSE 3: CYBER EXTORTION

Limit of liability:	USD1,000,000	each and every claim
---------------------	--------------	----------------------

INSURING CLAUSE 4: SYSTEM DAMAGE AND BUSINESS INTERRUPTION

SECTION A: SYSTEM DAMAGE AND RECTIFICATION COSTS

Limit of liability:	USD1,000,000	each and every claim
---------------------	--------------	----------------------

SECTION B: HARDWARE REPLACEMENT COSTS

Limit of liability:	USD1,000,000	each and every claim
---------------------	--------------	----------------------

SECTION C: INCOME LOSS AND EXTRA EXPENSE

Limit of liability:	USD1,000,000	each and every claim
---------------------	--------------	----------------------

SECTION D: EMERGENCY AND ADDITIONAL OPERATIONAL CONTINUITY COSTS

Limit of liability:	USD100,000	each and every claim
---------------------	------------	----------------------



SECTION E: VOLUNTARY AND REGULATORY SHUTDOWN

Limit of liability: USD1,000,000 each and every claim

SECTION F: DEPENDENT BUSINESS INTERRUPTION

Limit of liability: USD1,000,000 each and every claim

SECTION G: CONSEQUENTIAL REPUTATIONAL HARM

Limit of liability: USD1,000,000 each and every claim

SECTION H: LOST OR MISSED BIDS

Limit of liability: USD1,000,000 each and every claim

SECTION I: CLAIM PREPARATION COSTS

Limit of liability: USD25,000 each and every claim

INSURING CLAUSES 5 AND 7 - 9 COMBINED

Aggregate limit of liability: USD1,000,000 in the aggregate

INSURING CLAUSE 5: NETWORK SECURITY & PRIVACY LIABILITY

SECTION A: NETWORK SECURITY LIABILITY

Aggregate limit of liability: USD1,000,000 in the aggregate, including **costs and expenses**

SECTION B: PRIVACY LIABILITY

Aggregate limit of liability: USD1,000,000 in the aggregate, including **costs and expenses**

SECTION C: MANAGEMENT LIABILITY

Aggregate limit of liability: USD1,000,000 in the aggregate, including **costs and expenses**

SECTION D: REGULATORY FINES, PENALTIES AND INVESTIGATION COSTS

Aggregate limit of liability: USD1,000,000 in the aggregate, including **costs and expenses**

SECTION E: PCI FINES, PENALTIES AND ASSESSMENTS

Aggregate limit of liability: USD1,000,000 in the aggregate, including **costs and expenses**

SECTION F: CONTINGENT BODILY INJURY

Aggregate limit of liability: USD250,000 in the aggregate, including **costs and expenses**



INSURING CLAUSE 6: CRIMINAL REWARD COVER

Limit of liability: USD100,000 each and every claim

INSURING CLAUSE 7: MEDIA LIABILITY

SECTION A: DEFAMATION

Aggregate limit of liability: USD1,000,000 in the aggregate, including **costs and expenses**

SECTION B: INTELLECTUAL PROPERTY RIGHTS INFRINGEMENT

Aggregate limit of liability: USD1,000,000 in the aggregate, including **costs and expenses**

INSURING CLAUSE 8: TECHNOLOGY ERRORS AND OMISSIONS

NO COVER GIVEN

INSURING CLAUSE 9: COURT ATTENDANCE COSTS

Aggregate limit of liability: USD100,000 in the aggregate



OUR REGULATORY STATUS

CFC Underwriting Limited is authorised and regulated by the United Kingdom Financial Conduct Authority (FCA). CFC Underwriting Limited's Firm Reference Number at the FCA is 312848. These details may be checked by visiting the Financial Conduct Authority website at <https://register.fca.org.uk/>. Alternatively, the Financial Conduct Authority may be contacted on +44 (0)20 7066 1000.

We are covered by the Financial Services Compensation Scheme (FSCS). You may be entitled to compensation from the scheme if we cannot meet our obligations to you in respect of insurance policies that we have underwritten on behalf of insurers. This depends on the type of business and the circumstances of the claim. In respect of general insurance business the FSCS will cover 90% of the claim, without any upper limit and for compulsory classes of insurance, the FSCS will cover 100% of the claim, without any upper limit. Further information about compensation scheme arrangements is available from the FSCS.

DATA PROTECTION NOTICE

We collect and use relevant information about you to provide you with your insurance cover or the insurance cover that benefits you and to meet our legal obligations. Where you provide us or your agent or broker with details about other people, you must provide this notice to them.

The information we collect and use includes details such as your name, address and contact details and any other information that we collect about you in connection with the insurance cover from which you benefit. This information may include more sensitive details such as information about your health and any criminal convictions you may have.

In certain circumstances, we may need your consent to process certain categories of information about you (including sensitive details such as information about your health and any criminal convictions you may have). Where we need your consent, we will ask you for it separately. You do not have to give your consent and you may withdraw your consent at any time. However, if you do not give your consent, or you withdraw your consent, this may affect our ability to provide the insurance cover from which you benefit and may prevent us from providing cover for you or handling your claims.

The way insurance works means that your information may be shared with, and used by, a number of third parties in the insurance sector for example, insurers, agents or brokers, reinsurers, loss adjusters, sub-contractors, regulators, law enforcement agencies, fraud and crime prevention and detection agencies and compulsory insurance databases. We will only disclose your personal information in connection with the insurance cover that we provide and to the extent required or permitted by law.

We will process individual insured's details, as well as any other personal information you provide to us in respect of your insurance cover, in accordance with our privacy notice and applicable data protection laws.

To enable us to use individual insured's details in accordance with applicable data protection laws, we need you to provide those individuals with certain information about how we will use their details in connection with your insurance cover.

You agree to provide to each individual insured this notice, on or before the date that the individual becomes an individual insured under your insurance cover or, if earlier, the date that you first provide information about the individual to us.



We are committed to using only the personal information we need to provide you with your insurance cover. To help us achieve this, you should only provide to us information about individual insureds that we ask for from time to time.

You have rights in relation to the information we hold about you, including the right to access your information. If you wish to exercise your rights, discuss how we use your information or request a copy of our full privacy notice, please contact us directly at dataprotection@cfc.com.

For more information about how we use your personal information please see our full privacy notice, which is available online on our website at:

<http://www.cfc.com/privacy>



OTHER COSTS, FEES AND CHARGES

A Policy Administration Fee may be charged by CFC Underwriting Limited for administration costs incurred by it for its role in the distribution of this policy. Any applicable Policy Administration Fee:

- a. is separate from and in addition to the premium stated in the Declarations page; and
- b. constitutes a separate agreement between the Insured stated in the Declarations page and CFC Underwriting Limited which will come into effect upon inception of the policy.

If a Policy Administration Fee is applicable then it will be deemed fully earned upon inception of this policy and it will not be refundable in the event this policy is cancelled in accordance with the terms and conditions of this policy



TEXAS SURPLUS LINES CLAUSE

ATTACHING TO POLICY N/A
NUMBER:

THE INSURED: SynergenX Legacy Holdings LLC

WITH EFFECT FROM: -

This insurance contract is with an insurer not licensed to transact insurance in this state and is issued and delivered as surplus line coverage under the Texas insurance statutes. The Texas Department of Insurance does not audit the finances or review the solvency of the surplus lines insurer providing this coverage, and the insurer is not a member of the property and casualty insurance guaranty association created under Chapter 462, Insurance Code. Chapter 225, Insurance Code, requires payment of a 4.85 percent tax on gross premium.

**SUBJECT OTHERWISE TO THE TERMS AND CONDITIONS OF THE
POLICY**



POLICYHOLDER DISCLOSURE NOTICE OF TERRORISM INSURANCE COVERAGE

ATTACHING TO POLICY N/A

NUMBER:

THE INSURED: SynergenX Legacy Holdings LLC

WITH EFFECT FROM: -

Coverage for acts of terrorism is included in your policy. You are hereby notified that under the Terrorism Risk Insurance Act, as amended in 2015, the definition of act of terrorism has changed. As defined in Section 102(1) of the Act: The term "act of terrorism" means any act or acts that are certified by the Secretary of the Treasury—in consultation with the Secretary of Homeland Security, and the Attorney General of the United States—to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

Under your coverage, any losses resulting from certified acts of terrorism may be partially reimbursed by the United States Government under a formula established by the Terrorism Risk Insurance Act, as amended. However, your policy may contain other exclusions which might affect your coverage, such as an exclusion for nuclear events. Under the formula, the United States Government generally reimburses 85% through 2015; 84% beginning on January 1, 2016; 83% beginning on January 1, 2017; 82% beginning on January 1, 2018; 81% beginning on January 1, 2019 and 80% beginning on January 1, 2020, of covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage.

The Terrorism Risk Insurance Act, as amended, contains a \$100 billion cap that limits U.S. Government reimbursement as well as insurers' liability for losses resulting from certified acts of terrorism when the amount of such losses exceeds \$100 billion in any one calendar year. If the aggregate insured losses for all insurers exceed \$100 billion, your coverage may be reduced.

The portion of your annual premium that is attributable to coverage for acts of terrorism is USD0.00 and does not include any charges for the portion of losses covered by the United States government under the Act.

SUBJECT OTHERWISE TO THE TERMS AND CONDITIONS OF THE POLICY



RT SPECIALTY SPECIAL AMENDATORY CLAUSE

ATTACHING TO POLICY N/A

NUMBER:

THE INSURED: SynergenX Legacy Holdings LLC

WITH EFFECT FROM: -

It is understood and agreed that the following amendments are made to the Declarations page:

1. The time period shown as the "TIME FRANCHISE" is deleted in its entirety and replaced with the following:
TIME FRANCHISE: 6 hours

2. The duration and premium stated as the "OPTIONAL EXTENDED REPORTING PERIOD" are deleted in their entirety and replaced with the following:

12 months for 100% of applicable annualized premium
24 months for 160% of applicable annualized premium
36 months for 200% of applicable annualized premium
48 months for 225% of applicable annualized premium
60 months for 250% of applicable annualized premium
72 months for 275% of applicable annualized premium

3. **SECTION G: POST BREACH REMEDIATION COSTS** of **INSURING CLAUSE 1** is deleted in its entirety and replaced with the following:

SECTION G: POST BREACH REMEDIATION COSTS

Limit of liability: USD75,000 each and every claim

4. **SECTION I: CLAIMS PREPARATION COSTS** of **INSURING CLAUSE 4** is deleted in its entirety and replaced with the following:

SECTION I: CLAIMS PREPARATION

Limit of liability: USD50,000 each and every claim

5. The following **SECTIONS** are added to **INSURING CLAUSE 4**:

SECTION: NON-TECH DEPENDENT BUSINESS INTERRUPTION

Limit of liability: USD1,000,000 each and every claim

SECTION: CONTINGENT PROPERTY DAMAGE

Limit of liability: USD250,000 each and every claim

6. The following **SECTIONS** are added to **INSURING CLAUSE 5**:

SECTION: CORRECTIVE ACTION PLAN COSTS

Aggregate limit of liability: USD50,000 in the aggregate, including costs and expenses

WRONGFUL COLLECTION AND USE OF PERSONAL DATA AND DATA PRIVACY REGULATORY INVESTIGATIONS SECTIONS COMBINED



Aggregate limit of liability: USD50,000 in the aggregate, including costs and expenses

SECTION: WRONGFUL COLLECTION AND USE OF PERSONAL DATA

Aggregate limit of liability: USD50,000 in the aggregate, including costs and expenses

SECTION: DATA PRIVACY REGULATORY INVESTIGATION

Aggregate limit of liability: USD50,000 in the aggregate, including costs and expenses

7. **INSURING CLAUSE 9: COURT ATTENDANCE COSTS** is deleted in its entirety and replaced with the following:

INSURING CLAUSE 9: COURT ATTENDANCE COSTS

Aggregate limit of liability: USD1,000,000 in the aggregate, sub-limited to USD3,000 per day

It is further understood and agreed that the following amendments are made to this Policy:

1. **INSURING CLAUSE 1 (SECTION D only)** is deleted in its entirety and replaced with the following:

SECTION D: CRISIS MANAGEMENT COSTS

We agree to pay on **your** behalf any reasonable sums necessarily incurred by **you**, or on **your** behalf, as a direct result of a **cyber event** or **system failure** first discovered by **you** during the **period of the policy** to:

- a. engage with a crisis communications consultant to obtain specific advice in direct relation to the **cyber event** or **system failure**;
 - b. coordinate media relations in response to the **cyber event** or **system failure**;
 - c. receive training for relevant spokespeople with respect to media communications in direct relation to the **cyber event** or **system failure**; and
 - d. formulate a crisis communications plan in order to reduce damage to **your** brand and reputation as a direct result of the **cyber event** or **system failure**.
2. **INSURING CLAUSE 1 (SECTION E only)** is deleted in its entirety and replaced with the following:

SECTION E: PRIVACY BREACH MANAGEMENT COSTS

We agree to pay on **your** behalf any reasonable sums necessarily incurred by **you**, or on **your** behalf, as a direct result of a **cyber event**



first discovered during the **period of the policy** to:

- a. print and post appropriate notices for any individual affected by the actual or suspected **cyber event** or to send e-mail notices or issue substitute notices, including any privacy breach notification that **you** are not legally obliged to make;
- b. provide credit monitoring services, identity monitoring services, identity restoration services or identity theft insurance to affected individuals;
- c. set up a call center to manage inbound and outbound calls in direct relation to the **cyber event**;
- d. provide translation services to manage communications with affected or potentially affected individuals;
- e. issue appropriate notices, via a method determined by us, to any individuals other than those stated in a. above that are requested by **you** and agreed to by **us** (**our** agreement will not be unreasonably withheld); and
- f. freeze the credit of any affected individual and subsequently remove that credit freeze.

3. The first paragraph of **INSURING CLAUSE 3: CYBER EXTORTION** is deleted in its entirety and replaced with the following:

We agree to pay on behalf of the **company** any ransom (including ransoms paid in fiat currency, cryptocurrency or in the form of tangible property) in response to an extortion demand made against **you** and first discovered by **you** during the **period of the policy** as a direct result of any actual or threat of:

4. The final line of **INSURING CLAUSE 4 (SECTION A only)** is deleted in its entirety and replaced with the following:

reasonably and necessarily incurred as a direct result of any loss or damage to the data application components of **your computer systems**, where the loss or damage is first discovered by **you** during the **period of the policy**.

5. **INSURING CLAUSE 4 (SECTION I only)** is deleted in its entirety and replaced with the following:

SECTION I: CLAIM PREPARATION COSTS

We agree to pay on **your** behalf any reasonable sums necessarily incurred to determine the amount of **your income loss** sustained following an interruption to **your business operations** covered under **INSURING CLAUSE 4**. **We** will only pay these costs where they are incurred with an expert appointed by the **claims manager** that is agreed between **you** and **us**.

6. The following **SECTIONS** are added to **INSURING CLAUSE 4**:

SECTION: NON-TECH DEPENDENT BUSINESS INTERRUPTION



We agree to reimburse **you** for **your income loss** and **extra expense** sustained during the **indemnity period** as a direct result of an interruption to **your business operations** arising directly out of any sudden, unexpected and continuous outage of computer systems used directly by a **non-tech supply chain partner** first discovered by **you** during the **period of the policy**, provided that the computer systems downtime lasts longer than the **time franchise** and arises directly out of any **cyber event**, **system failure** or **operator error**.

SECTION: CONTINGENT PROPERTY DAMAGE

We agree to reimburse **you** for any reasonable sums necessarily incurred:

- a. to repair or rebuild **your premises**;
- b. to repair or replace **your contents** and **stock**;
- c. for electronic data restoration;
- d. to make temporary repairs to, expedite permanent repairs for, or expedite permanent replacement of, your premises or contents and stock;
- e. to remove any debris; and
- f. for professional services including architects, surveyors and engineers

as a direct result of physical damage to **your premises** or **contents** and **stock** first occurring during the **period of the policy** and caused by a **cyber event**.

However, **we** will not make any payment under this Section for which **you** are entitled to indemnity under any other insurance, except for any additional sum which is payable over and above the other insurance.

7. The following is added to **INSURING CLAUSE 5 (SECTION D only)**:

The insurability of the fines and penalties will be determined in accordance with the most favorable State law.

8. **INSURING CLAUSE 5 (SECTION E only)** is deleted in its entirety and replaced with the following:

SECTION E: PCI FINES, PENALTIES AND ASSESSMENTS

We agree to pay on **your** behalf any fines, penalties and card brand assessments including fraud recoveries, operational reimbursements, non-cooperation costs, card reissuance costs and case management fees, which **you** become legally obliged to pay to **your** acquiring bank or payment processor as a direct result of a payment card breach first discovered by **you** during the **period of the policy**.

We will also pay costs and expenses on **your** behalf.



9. The following **SECTIONS** are added to **INSURING CLAUSE 5**:

SECTION: CORRECTIVE ACTION PLAN COSTS

We agree to pay on **your** behalf any sums necessarily incurred with the **claims manager** in order to meet any of the following requirements specified within a corrective action plan agreed by **you** with the OCR as a direct result of a **cyber event** first discovered by **you** during the **period of the policy**:

- a. the development of a Health Insurance Portability and Accountability Act (HIPAA) of 1996 compliant information security document set;
- b. complete a HIPAA compliance audit;
- c. the costs associated with completing an information security risk assessment; and
- d. the costs associated with the implementation of a security awareness training program.

SECTION: WRONGFUL COLLECTION AND USE OF PERSONAL DATA

We agree to pay on **your** behalf all sums which **you** become legally obliged to pay (including the establishment of any consumer redress fund and associated expenses) as a result of any **claim** first made against **you** during the **period of the policy** arising directly out of any non-compliance with any **data privacy regulation**.

We will also pay costs and expenses on **your** behalf.

SECTION: DATA PRIVACY REGULATORY INVESTIGATION

We agree to pay on **your** behalf any fines and penalties resulting from a **regulatory investigation** first initiated against **you** during the **period of the policy** arising as a direct result of any non-compliance with any **data privacy regulation**.

We will also pay costs and expenses on **your** behalf.

10. **INSURING CLAUSE 7 (SECTION B only)** is deleted in its entirety and replaced with the following:

SECTION B: INTELLECTUAL PROPERTY RIGHTS INFRINGEMENT

We agree to pay on **your** behalf all sums which **you** become legally obliged to pay (including liability for claimants' costs and expenses) as a result of any **claim** first made against **you** during the **period of the policy** or any applicable optional extended reporting period for any:

- a. infringement of any intellectual property rights, including, but not limited to, copyright, trademark, trade dilution, trade dress, commercial rights, design rights, domain name rights, image rights, moral rights, service mark or service name, but not including patent;

- b. act of passing-off, piracy or plagiarism or any misappropriation of content, concepts, format rights or ideas or breach of a contractual warranty relating to intellectual property rights;
- c. breach of any intellectual property rights license acquired by **you**;
- d. failure to attribute authorship or provide credit;
- e. misappropriation of a trade secret;
- f. invasion, infringement or interference with rights of privacy or publicity, including false light, public disclosure of private facts, intrusion, breach of confidence and commercial appropriation of name or likeness; or
- g. improper deep linking or framing

arising out of any **media content** (including any **media content** that has been created, in whole or in part, by artificial intelligence programs or where such programs have been used to assist in the creation of **media content**).

We will also pay costs and expenses on **your** behalf.

11. The final paragraph of **YOUR DEDUCTIBLE** is deleted in its entirety and replaced with the following:

In respect of **INSURING CLAUSE 4 (SECTIONS C, D, E, F and the NON-TECH DEPENDENT BUSINESS INTERRUPTION SECTION only)**, a single **time franchise** and **indemnity period** will apply to each **claim**. Where the same original cause or single source or event causes more than one period of **computer systems** downtime these will be considered one period of **computer systems** downtime whose total duration is equal to the cumulative duration of each individual period of **computer systems** downtime.

12. The **DEFINITION** of "**Computer systems**" is deleted in its entirety and replaced with the following:

"Computer systems" means

all electronic computers used directly by **you**, including operating systems, software, hardware and all communication and open system networks and any data or websites wheresoever hosted, off-line media libraries and data back-ups, personal devices of **employees** and **senior executive officers** where used directly for **business operations**, and mobile devices including but not limited to smartphones, iPhones, tablets or personal digital assistants.

"Computer systems" also means supervisory control and data acquisition (SCADA) systems, industrial control systems and other similar operational technology.

13. The following are added to the **DEFINITION** of "**claim**":

- e. a request for arbitration or mediation; or
 - f. a request to toll or waive statute of limitations
- 14. Part b. of the **DEFINITION** of “**Costs and expenses**” is deleted in its entirety and replaced with the following:
 - b. any pre or post judgement interest; and
- 15. The **DEFINITION** of “**Cyber event**” is deleted in its entirety and replaced with the following:

"Cyber event" means

any actual or suspected unauthorized system access, electronic attack or **privacy breach**, including but not limited to an attack that utilizes artificial intelligence (AI), denial of service attack, cyber terrorism, hacking attack, Trojan horse, phishing attack, man-in-the-middle attack, application-layer attack, compromised key attack, malware infection (including spyware or ransomware), computer virus or actions of a rogue **employee**.
- 16. Part b. of the **DEFINITION** of “**Indemnity period**” is deleted in its entirety and replaced with the following:
 - b. the downtime of computer systems used directly by a **supply chain partner** or **non-tech supply chain partner**;
- 17. The first paragraph of the **DEFINITION** of “**Media content**” is deleted in its entirety and replaced with the following;

any content created or disseminated by **you** or on **your** behalf, including but not limited to user generated content, business communications and content disseminated through books, magazines, brochures, social media, billboards, websites, mobile applications, television and radio.
- 18. The **DEFINITION** of “**Employee**” is deleted in its entirety and replaced with the following:

"Employee" means

any employee of the **company**, any intern working for the **company**, any volunteer working for the **company** and any individual working for the **company** as an independent contractor.
- 19. The **DEFINITION** of “**Privacy breach**” is deleted in its entirety and replaced with the following:

"Privacy breach" means

an actual or suspected unauthorized disclosure of information (including information in electronic, paper or audio format and biometric information) arising out of an electronic attack, accidental disclosure, theft or the deliberate actions of a rogue **employee** or **third party**.

"Privacy breach" does not mean a situation where information is deliberately shared with or sold to a **third party** with the knowledge and consent of a **senior executive officer**.

20. The **DEFINITION** of "**Senior executive officer**" is deleted in its entirety and replaced with the following:

"**Senior executive officer**" means

board members, the chief executive officer, chief finance officer, chief information officer, chief information security officer, general counsel, chief privacy officer and chief risk manager of the **company**, including any individual performing the functional equivalents of these positions in the **company**.

21. The **DEFINITION** of "**Subsidiary**" is deleted in its entirety and replaced with the following:

"**Subsidiary**" means

any entity which the **company** has majority ownership of, meaning more than 50% ownership, or managing control of on or before the **inception date**.

22. The following paragraph is added to the **DEFINITION** of "**Supply chain partner**":

"**Supply chain partner**" does not mean **non-tech supply chain partner**.

23. The second paragraph of the "**System failure**" **DEFINITION** is deleted in its entirety and replaced with the following:

However, in respect of **INSURING CLAUSE 4 (SECTION F and the NON-TECH DEPENDENT BUSINESS INTERRUPTION SECTION only)**, "**system failure**" also means any sudden, unexpected and continuous downtime of computer systems used directly by a **supply chain partner** or **non-tech supply chain partner** which renders them incapable of supporting their normal business function and is caused by an application bug, an internal network failure or hardware failure.

24. The **DEFINITION** of "**you/your**" is deleted in its entirety and replaced with the following:

"**You/your**" means:

- a. the **company, employees and senior executive officers** solely acting in the normal course of **your business operations**;
- b. the estates, heirs, legal representatives or assigns of any **employee or senior executive officer** in the event of their death, incapacity, insolvency or bankruptcy but only with respect to any act, error or omission committed or alleged to have been committed by the **employee or senior executive officer** while acting in their capacity as **employee or senior**

executive officer; and

- c. the parent, spouse, domestic partner, civil partner or child of any **employee** or **senior executive officer** but only in respect of any claim made against them by reason of:
 - i. their status as parent, spouse, domestic partner, civil partner or child of the **employee** or **senior executive officer**; or
 - ii. their ownership or interest in property which the claimant seeks as recovery for an alleged act, error or omission committed by the **employee** or **senior executive officer** while acting in their capacity as **employee** or **senior executive officer**.

25. The following **DEFINITIONS** are added:

“Contents” means

items at **your premises** that the **company** owns or is legally responsible for, other than stock, are used primarily in connection with **your business operations** and are not permanently attached to a building, including:

- a. improvements made to the **premises** by **you** as a tenant or by a previous tenant who previously occupied the **premises**, including decorating, flooring, internal fixtures and fittings, aerials and satellite dishes;
- b. desktop computer hardware and ancillary equipment (including monitors, keyboards and printers);
- c. television, photocopying and telecommunications equipment;
- d. valuable documents including plans and designs in paper format;
- e. heating oil contained in fixed tanks in the open at your premises;
- f. refrigeration, ventilation, cooking, dishwashing and laundry appliances;
- g. locks and keys, provided this is necessary to maintain the security of your premises or safes;
- h. any trailer, provided that it was unattached from, being attached to, or being detached from, a motor vehicle when the damage occurred;
- i. outdoor signs located on the premises; and
- j. the personal belongings of any employee or visitor whilst at your premises, provided they are not covered under any other insurance.



"Data privacy regulation" means

any law or regulation in any jurisdiction relating to the collection, control, processing or transfer of personal data.

"Premises" means

any building owned or leased by the company solely for the purpose of conducting **your business operations** and including:

- a. any completed extension to the building;
- b. any permanently installed machinery and equipment;
- c. any permanently attached fixtures and fittings;
- d. landlord's fixtures and fittings;
- e. retaining walls, outdoor walls, gates, fences, yards, car parks, roadways and pavements;
- f. trees, shrubs, plants and lawns;
- g. piping, ducting, cables, wires and accessories extending to the public mains that **you** are responsible for; and
- h. fixed glass in windows, doors, skylights, mirrors fixed to the building, glass showcases and shelves fixed to the building, sanitary fixtures and fittings and other fixed glass.

"Stock" means

- a. stock;
- b. samples;
- c. merchandise goods; and
- d. goods held in trust;

whilst at **your premises**.

"Non-tech supply chain partner" means

any **third party** that provides **you** with goods or services under a written contract.

"Non-tech supply chain partner" does not mean a **supply chain partner**.

26. The "Associated Companies" **EXCLUSION** is deleted in its entirety and replaced with the following:

Associated companies

- a. in respect of any **claim** made by any company, firm or partnership in which the **company** has greater than a 25% executive or financial interest, unless the **claim** emanates from an independent **third party**;

- b. in respect of any **claim** made by any company, firm, partnership or individual which has greater than a 25% executive or financial interest in the **company**, unless the **claim** emanates from an independent **third party**; or
- c. in respect of any **claim** made by or on behalf of the **company** against a **third party**.

However, this Exclusion will not apply to any cover afforded under the **ADDITIONAL INSUREDS CONDITION**.

27. The final paragraph of the "Bodily injury and property damage" **EXCLUSION** is deleted in its entirety and replaced with the following:

However, this Exclusion will not apply to:

- a. **INSURING CLAUSE 4 (CONTINGENT PROPERTY DAMAGE SECTION only)**;
- b. **INSURING CLAUSE 5 (SECTIONS A, B and C only) and 7**, in respect of any **claim** as a direct result of mental injury or emotional distress; and
- c. **INSURING CLAUSE 5 (SECTION F only)**, in respect of any **claim** as a direct result of **bodily injury**.

28. The following is added to the "Patent infringement" **EXCLUSION**:

However this Exclusion will not apply to **INSURING CLAUSE 5 (SECTION A only)** for any infringement of a patent by a **third party** as a direct result of any **cyber event**.

29. The "Product IP infringement" **EXCLUSION** is deleted in its entirety and replaced with the following:

Product IP infringement

arising directly or indirectly from the actual or alleged:

- a. infringement of any intellectual property right by any product manufactured, designed, formulated, licensed, distributed or sold by **you**; or
- b. the misappropriation of any trade secret by **you** or a **third party**.

However, part b. of this Exclusion will not apply to **INSURING CLAUSES 5 (SECTION A only) and 7 (SECTION B only)**.

30. The final paragraph of the "Property and hardware costs" **EXCLUSION** is deleted in its entirety and replaced with the following:

However, this Exclusion will not apply to **INSURING CLAUSE 4 (SECTION B and the CONTINGENT PROPERTY DAMAGE SECTION only)**.

31. The final paragraph of the "Terrorism" **EXCLUSION** is deleted in its



entirety and replaced with the following:

However, this Exclusion does not apply to a **cyber event** affecting **your computer systems**, a **supply chain partner's** or a **non-tech supply chain partner's** computer systems.

32. The following is added to the "Uninsurable fines" **EXCLUSION**:

However, **we** will apply the most favorable State law to **you** in determining whether the fines, penalties, civil or criminal sanctions or multiple, punitive or exemplary damages are insurable.

33. The following is added to the "Unlawful surveillance" **EXCLUSION**:

However, this Exclusion will not apply to **INSURING CLAUSE 5 (WRONGFUL COLLECTION AND USE OF PERSONAL DATA SECTION only)**.

34. The "Willful or dishonest acts of senior executive officers" **EXCLUSION** is deleted in its entirety and replaced with the following:

Willful or dishonest acts of senior executive officers

arising out of any willful, malicious, reckless or dishonest act or omission by a **senior executive officer** as determined by final and non-appealable adjudication, arbitral tribunal or written admission.

However, no willful, criminal, malicious or dishonest act, error or omission committed by a **senior executive officer** will be imputed to any other **senior executive officer** for the purpose of determining the applicability of this Exclusion.

35. The following are added to the **EXCLUSIONS RELATING TO ALL INSURANCE CLAUSES**:

Cyber events

in respect of the **WRONGFUL COLLECTION AND USE OF PERSONAL DATA** and **DATA PRIVACY REGULATORY INVESTIGATIONS SECTIONS** of **INSURING CLAUSE 5** only, arising directly out of any **cyber event**.

Data privacy regulations

arising directly or indirectly out of any **data privacy regulation**.

However, this Exclusion will not apply to the **WRONGFUL COLLECTION AND USE OF PERSONAL DATA** and **DATA PRIVACY REGULATORY INVESTIGATION SECTIONS** of **INSURING CLAUSE 5**.

36. In paragraph 1 of the "What you must do in the event of a circumstance which could give rise to a claim" **CONDITION**, the words "**INSURING CLAUSES 7 and 8**" are deleted in their entirety and replaced with "**INSURING CLAUSES 7, 8** and the **WRONGFUL COLLECTION AND USE OF PERSONAL DATA** and **DATA PRIVACY REGULATORY INVESTIGATION SECTIONS** of **INSURING CLAUSE 5**".

37. The first part b. of the "What you must do if an incident takes place" **CONDITION** is deleted in its entirety and replaced with the following:

- b. in respect of **INSURING CLAUSES 2 and 3**, report the incident to the appropriate law enforcement authorities if necessary;
- 38. The last paragraph of the "Agreement to pay claims (duty to defend)" **CONDITION** is deleted in its entirety and replaced with the following:

We will not settle any **claim** without **your** consent. If **you** refuse to provide **your** consent to a settlement recommended by **us** and elect to continue legal proceedings in connection with the **claim**, our liability for the **claim** will not exceed the amount for which the **claim** could have been settled, plus:

- a. 90% of any costs and expenses incurred after the date the settlement was recommended by **us**; and
- b. 90% of that part of any sum **you** become legally obliged to pay in excess of the settlement amount recommended by **us**.

We will have no responsibility to pay the remaining 10% of the costs and expenses and that part of any sum **you** become legally obliged to pay as stated in a. and b. above.

- 39. The following is added to the "Additional insureds" **CONDITION**:

Where **we** indemnify a **third party** as an additional insured under this Policy, this Policy will be primary and non-contributory to the **third party's** own insurance, but only if **you** and the **third party** have entered into a contract that contains a provision requiring this.

- 40. The first paragraph of the "Cancellation" **CONDITION** is deleted in its entirety and replaced with the following:

This Policy may be canceled:

- a. at any time upon prior written request by **you**; or
 - b. with 60 days written notice by **us** in the event that any amount due to **us** by **you** remains unpaid more than 60 days beyond the **inception date**.
- 41. Where "14 days" is stated in the "Cancellation" **CONDITION**, it is deleted in its entirety and replaced with "30 days".
- 42. Where "60 days" is stated in the "Extended reporting period" **CONDITION**, it is deleted in its entirety and replaced with "90 days".
- 43. Where "30 days" is stated in the "Optional extended reporting period" **CONDITION**, it is deleted in its entirety and replaced with "90 days".
- 44. The "Mergers and acquisitions" **CONDITION**, it is deleted in its entirety and replaced with the following:

Mergers and acquisitions



If **you** acquire or create an entity during the **period of the policy**, including an entity merging into or consolidating with **you** and the **company** is the surviving entity, cover is automatically extended under this Policy to include the acquired or created entity as a **subsidiary**. Cover for any acquired or created entity is only provided under this Policy for any act, error or omission committed, or **cyber event** first discovered, on or after the date of its acquisition or creation.

If during the **period of the policy** you are acquired by another entity, or you merge or consolidate with another entity and the **company** is not the surviving entity, then cover under this Policy will continue until the **expiry date** but only in respect of any act, error or omission committed, or **cyber event** first discovered, prior to the date of the acquisition, merger or consolidation.

45. The "Supply chain interruption events" **CONDITION** is deleted in its entirety and replaced with the following:

Supply chain interruption events

In respect of **INSURING CLAUSE 4 (SECTION F and the NON-TECH DEPENDENT BUSINESS INTERRUPTION SECTION only)**, it is a condition precedent to liability under this Policy that you submit to us a written report from the **supply chain partner** or **non-tech supply chain partner** confirming the root cause and length of the outage.

46. The first paragraph of the "Our Rights of recovery" **CONDITION** is deleted in its entirety and replaced with the following:

If **we** make any payment under this Policy and **you** have any right of recovery against a **third party** in respect of this payment, then **we** will maintain this right of recovery. **You** will do whatever is reasonably necessary to secure this right and will not do anything after the event which gave rise to the claim to prejudice this right. However, **we** will not seek any right of recovery where **you** have explicitly waived **your** right of recovery prior to the incident which gave rise to a claim under this Policy.

SUBJECT OTHERWISE TO THE TERMS AND CONDITIONS OF THE POLICY



CYBER INCIDENT RESPONSE WITHIN THE LIMIT CLAUSE

ATTACHING TO POLICY N/A

NUMBER:

THE INSURED: SynergenX Legacy Holdings LLC

WITH EFFECT FROM: -

It is understood and agreed that **HOW MUCH WE WILL PAY** is deleted in its entirety and replaced with the following:

YOUR MAXIMUM LIMITS UNDER THIS POLICY

The maximum amount payable by **us** under this Policy for any one claim or series of related claims is the **policy limit**.

The maximum amount payable by **us** under any Insuring Clause for any one claim or series of related claims is the amount shown as the limit in the Declarations page for that Insuring Clause.

The maximum amount payable by **us** under any Section for any one claim or series of related claims is the amount shown as the limit in the Declarations page for that Section.

HOW YOUR LIMITS OPERATE

In respect of **INSURING CLAUSES 1, 2, 3, 4 and 6**, the **policy limit** is provided on an each and every claim basis. This means that the **policy limit** is not subject to an aggregate limit and the full **policy limit** will be available to **you** for any unrelated claims for which **you** are entitled to cover under this Policy.

For example, if **you** have a **policy limit** of \$1,000,000 and a claim erodes \$800,000 of that **policy limit**, should **you** notify a subsequent unrelated and covered claim under this Policy, the full \$1,000,000 **policy limit** will be available to **you** for the subsequent claim.

In respect of **INSURING CLAUSES 5, 7, 8 and 9**, the maximum amount payable under this Policy in total aggregate will be the **policy limit**.

YOUR MAXIMUM LIMIT FOR RELATED INCIDENTS

Where more than one claim arises from the same original cause or single source or event, all of those claims will be deemed to be one claim and only one **policy limit** will apply in respect of that claim.

PAYMENT FOR PHYSICAL GOODS

If we make any payment under **INSURING CLAUSE 2 (SECTION D only)**, we will do so on a cost price basis. This means that any payment we make will be based on the original purchase price or cost of production of your tangible property and will not include your loss of profit.

PAYMENT FOR LOSS INCURRED BEFORE TIME FRANCHISE ELAPSED

In respect of **INSURING CLAUSE 4 (SECTIONS C, D, E and F only)**, where you are entitled to cover for any income loss or extra expense, any



income loss or extra expense incurred before the time franchise elapsed will also be covered.

YOUR LIABILITY COVERAGES

In respect of **INSURING CLAUSES 5, 7, 8 and 9** we may at any time pay to **you** in connection with any **claim** the amount of the **policy limit** (after deduction of any amounts already paid). Upon that payment being made **we** will relinquish the conduct and control of the **claim** and be under no further liability in connection with that **claim** except for the payment of **costs and expenses** incurred prior to the date of such payment (unless the **policy limit** is stated to be inclusive of **costs and expenses**).

If **costs and expenses** are stated in the Declarations page to be in addition to the **policy limit**, or if the operation of local laws require **costs and expenses** to be paid in addition to the **policy limit**, and if a damages payment in excess of the **policy limit** has to be made to dispose of any **claim**, our liability for **costs and expenses** will be in the same proportion as the **policy limit** bears to the total amount of the damages payment.

It is further understood and agreed that the following amendments are made to this Policy:

1. The “**Incident response limit**” **DEFINITION** is deleted in its entirety.
2. The first part a. of the “Continuous cover” **CONDITION** is deleted in its entirety and replaced with the following:
 - a. the indemnity will be subject to the applicable limit of liability of the earlier Policy under which the matter should have been reported or the **policy limit**, whichever is the lower;
3. The third paragraph of the “Optional extended reporting period” **CONDITION** is deleted in its entirety and replaced with the following:

The right to the optional extended reporting period will not be available to **you** where cancellation or non-renewal by **us** is due to non-payment of the **premium** or **your** failure to pay any amounts in excess of the applicable **policy limit** or within the amount of the applicable **deductible** as is required by this Policy in the payment of claims.

4. The third paragraph of the “Agreement to pay claims (Our duty to defend)” **CONDITION** is deleted in its entirety and replaced with the following:

We will endeavor to settle any **claim** through negotiation, mediation or some other form of alternative dispute resolution and will pay on **your** behalf the amount **we** agree with the claimant. If **we** cannot settle using these means, **we** will pay the amount which **you** are found liable to pay either in court or through arbitration proceedings, subject always to the **policy limit**.

SUBJECT OTHERWISE TO THE TERMS AND CONDITIONS OF THE POLICY





We are pleased to introduce you to Stetson Insurance Funding, LLC ("Stetson") an affiliate of Ryan Specialty Group that operates its premium finance business. Stetson will be providing an automated premium finance agreement for your clients' commercial insurance risks placed through RT Specialty.

Stetson has teamed up with FIRST Insurance Funding ("FIRST"), the largest premium finance company in North America. Under this collaboration, FIRST will be the lender, as listed on the premium finance agreement, and the loan will be serviced by FIRST. Stetson will be your main point of contact throughout the life of the loan and provide ongoing support to your agency.

EASY SET UP FOR AGENTS TO OBTAIN FINANCING:

1. Receive an automated premium finance agreement with eligible commercial insurance risks placed through RT Specialty.
2. Make changes to the premium finance agreement by:
 - Visiting our website at www.stetsonfunding.com
 - Emailing us at quotes@stetsonfunding.com
 - Calling us at 1-866-856-1112
3. Down payment to be collected by the agent from the insured in good funds and sent to the General Agent or Carrier.
4. Return the signed premium finance agreement to agreements@stetsonfunding.com.
5. Stetson will finalize the loan and have funding issued for the amount financed.

We look forward to exceeding your premium financing expectations.



SURPLUS LINES FILING DECLINATIONS DETAIL

NAME OF INDIVIDUAL LICENSEE THAT MADE DILIGENT EFFORT TO PLACE WITH ADMITTED CARRIER:	Anna Barrera	PHYSICAL ADDRESS OF RISK:
INDIVIDUAL LICENSE NUMBER:		16131 N Eldridge Pkwy, Ste 100, Tomball, TX, 77377

NAME OF INSURED:	SynergenX Legacy Holdings LLC
POLICY NUMBER:	ESN0140383085

☐ I confirm the full amount of required insurance cannot be obtained, after a diligent effort, from an admitted insurer in TX (TX Code 981.004.)

OR

☐ I confirm this insured qualifies as an industrial insured (TX code 981.0033) and no evidence of diligent effort is required. I have made the disclosures required by the TX code to the industrial insured and have received this insured's written request to obtain insurance from the surplus lines market.

OR

☐ I confirm this insured qualifies as Exempt Commercial Purchaser (ECP) (TX Code 981.0031) and no evidence of diligent effort is required. I have made the disclosures required by the TX code to the ECP and have received this insured's written request to obtain insurance from the surplus lines market.

Signature of Producer

Date

Print Name